AI EQUITY RESEARCH

April 26, 2026

MICROSOFT CORPORATION

MSFT • Technology • Software - Infrastructure

RATING
SELL
HIGH conviction

Next Earnings: Apr 30, 2026 EPS est. 4.06 Rev est. $81.4B

CURRENT PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MARKET CAP
$424.62	$259.79 Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model	-38.8%	$3,153.1B

Summary — The stock is overvalued, with a fair value of $259.79, implying a 38.82% downside from the current price of $424.62.

WACC / COST OF EQUITY	9.71%	EV / EBITDA	18.2x
ENTERPRISE VALUE	$1,942.0B	P / E	31.0x
VALUATION MODEL	DCF_FCFF	P / S	11.2x

Investment Thesis

Bull Case

The stock could be driven significantly higher if the company exceeds its projected revenue and free cash flow to firm (FCFF), particularly if it can maintain its operating margin of 0.$4562.2T and continue to grow its revenue at a rate similar to or higher than its projected rates, such as $301.1B, $348.3B, $400.3B, $443.5B, and $472.96B over the next five years.

- Exceeding projected revenue growth
- Maintaining or improving operating margin
- Increasing free cash flow to firm

Base Case

The most likely scenario is that the stock will trade at its fair value, which is $259.79, implying a -38.82% downside from the current price of $424.62, as stated in 'Fair value implies a 38.82% downside from the current price.'

Fair value implies a 38.82% downside from the current price.

Bear Case

The stock could experience significant downside if the company fails to meet its projected revenue and FCFF, or if its operating margin and WACC are negatively impacted, leading to a decrease in its enterprise value of $1.94T and equity value of $1.93T.

- Missing projected revenue and FCFF targets
- Decrease in operating margin
- Increase in WACC

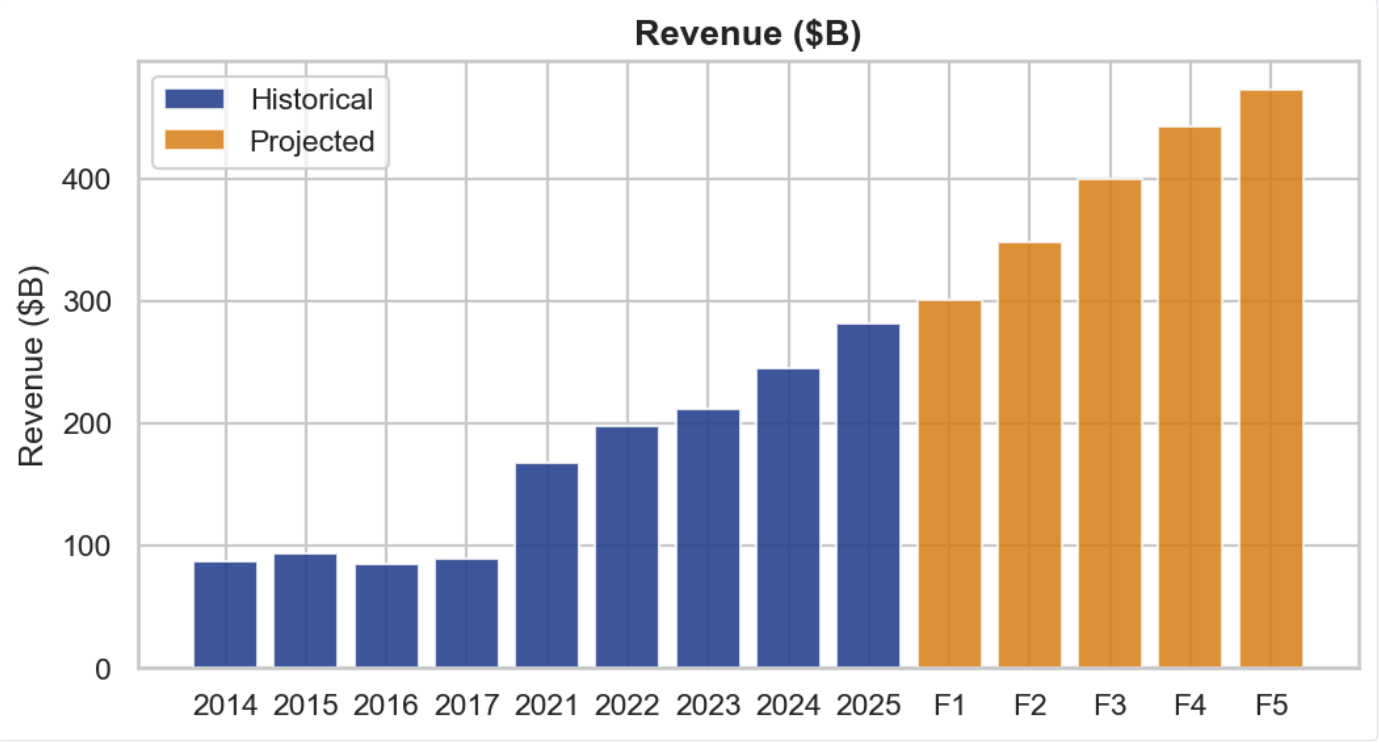
Key Catalysts

- Earnings reports
- Revenue growth announcements
- Changes in WACC or operating margin

Financial Analysis

Historical Financials (SEC EDGAR — last 10 periods)

Period End	Revenue	Gross Profit	Operating Income	Net Income	CFO	CapEx	Equity	EPS
2025-06-30	$281.7B	$193.9B	$128.5B	$101.8B	$136.2B	$64.6B	$343.5B	$13.70
2024-06-30	$245.1B	$171.0B	$109.4B	$88.1B	$118.5B	$44.5B	$268.5B	$11.86
2023-06-30	$211.9B	$146.1B	$88.5B	$72.4B	$87.6B	$28.1B	$206.2B	$9.72
2022-06-30	$198.3B	$135.6B	$83.4B	$72.7B	$89.0B	$23.9B	$166.5B	$9.70
2021-06-30	$168.1B	$115.9B	$69.9B	$61.3B	$76.7B	$20.6B	$142.0B	$8.12
2020-06-30	n/a	n/a	n/a	n/a	n/a	n/a	n/a	—
2017-06-30	$90.0B	n/a	n/a	n/a	$39.5B	n/a	n/a	—
2016-06-30	$85.3B	n/a	n/a	n/a	$33.3B	n/a	n/a	—
2015-06-30	$93.6B	n/a	n/a	n/a	$29.1B	n/a	n/a	—
2014-06-30	$86.8B	n/a	n/a	n/a	$32.2B	n/a	n/a	—



Source: Historical bars from SEC EDGAR XBRL filings (10-K/10-Q annual revenue). **F1–F5** = projected Forecast Years 1 through 5, computed by the DCF engine (no LLM): starting from the latest reported revenue, growth for years 1–3 is set to the trailing 3-year YoY growth rate, then fades linearly toward the terminal growth assumption (2.5%) by year 5. Year-by-year growth rates used: 6.9%, 15.7%, 14.9%.

Quarterly Trend (last 12 quarters)

Period End	Revenue	Operating Income	Net Income	CFO
2025-12-31	$81.3B	$38.3B	$38.5B	$35.8B
2025-09-30	$77.7B	$38.0B	$27.7B	$45.1B
2025-03-31	$70.1B	$32.0B	$25.8B	$37.0B
2024-12-31	$69.6B	$31.7B	$24.1B	$22.3B
2024-09-30	$65.6B	$30.6B	$24.7B	$34.2B
2024-03-31	$61.9B	$27.6B	$21.9B	$31.9B
2023-12-31	$62.0B	$27.0B	$21.9B	$18.9B
2023-09-30	$56.5B	$26.9B	$22.3B	$30.6B

Key Ratios (most recent year)

Category	Metric	Value
Profitability	Gross Margin	68.82%
Profitability	Operating Margin	45.62%
Profitability	Net Margin	36.15%
Profitability	Cost Ratio	31.18%
Returns	Roe	29.65%
Returns	Roa	16.45%
Returns	Roic	29.72%
Leverage	Debt To Equity	12.56%
Leverage	Debt To Assets	6.97%
Leverage	Debt To Ebitda	—
Leverage	Equity Multiplier	1.8x
Leverage	Interest Coverage	43.79x
Efficiency	Asset Turnover	45.51%
Efficiency	Receivables Turnover	—
Efficiency	Days Sales Outstanding	—
Efficiency	Inventory Turnover	93.64x
Valuation	Market Cap	$3,155.9B
Valuation	Enterprise Value	$3,168.8B
Valuation	Pe Ratio	30.99x
Valuation	Ev To Revenue	11.25x
Valuation	Ev To Ebitda	—
Valuation	Price To Book	9.19x
Valuation	Price To Sales	11.2x
Valuation	Earnings Yield	3.23%
Valuation	Fcf Yield	—

Valuation — Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model

FAIR VALUE

$259.79

-38.8% vs current

DCF — FCFF 2-Stage

ENTERPRISE VALUE	$1,942.0B	WACC	9.71%
EQUITY VALUE	$1,929.1B	TERMINAL VALUE (UNDISC.)	$2,290.3B

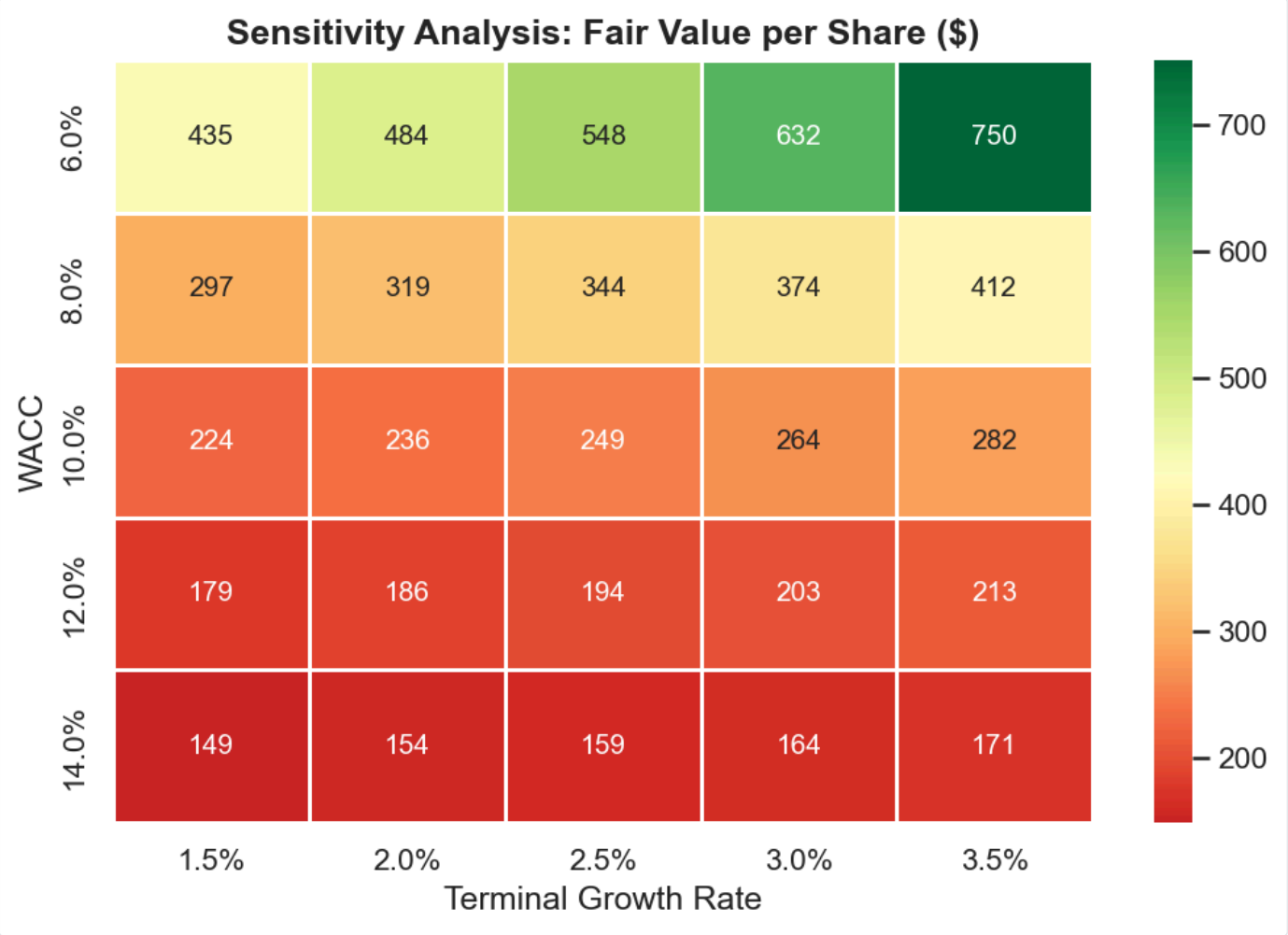
REVENUE PROJECTION ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
301.1	348.3	400.3	443.5	473.0

PROJECTED FCFF ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
102.5	118.56	136.27	150.97	161.0

SENSITIVITY — WACC × TERMINAL GROWTH

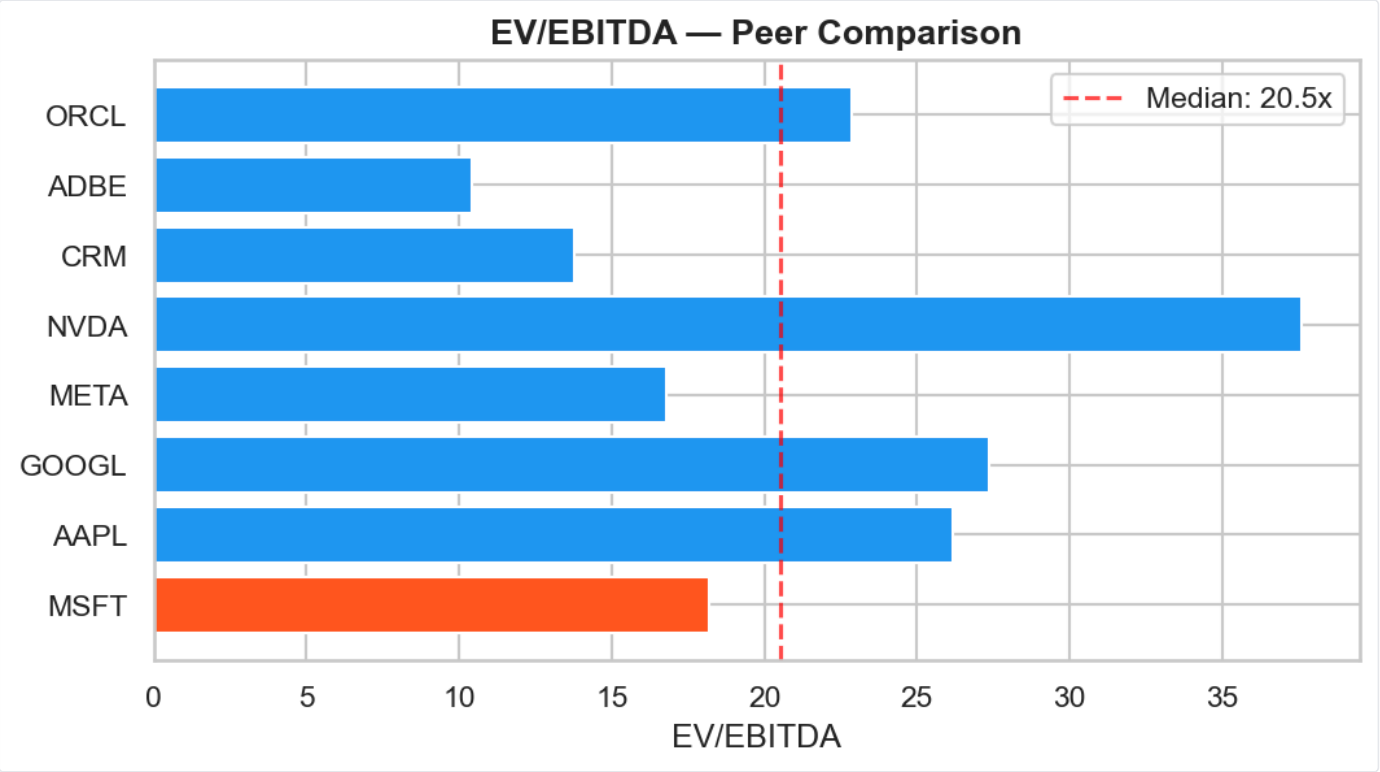


> **How to read:** each cell is the model's fair value per share under a different combination of WACC (row, discount rate) and terminal growth (column, long-run growth beyond the forecast window). Green = above current price (upside); red = below (downside). Baseline is the cell at the center row/column. Computed Python-side by re-running the DCF over a 5×5 grid — no LLM.

COMPARABLE IMPLIED VALUES

Method	Implied Fair Value
Ev Revenue Implied	$346.92
Pe Implied	$427.45
Pb Implied	$463.95

Peer Comparison & Industry Context



Source: EV/EBITDA ratio for each peer, pulled live from yfinance. The target ticker is highlighted in orange; the dashed red line is the median across the peer set. Peers are selected by GICS sector/sub-industry match (computed Python-side). A bar above the median suggests relative premium valuation; below the median suggests a relative discount on this multiple.

Peer Set

Ticker	EV/EBITDA	P/E	P/S
AAPL	26.2x	34.4x	—
GOOGL	27.3x	31.9x	—
META	16.8x	28.7x	—
NVDA	37.6x	42.6x	—
CRM	13.8x	22.8x	—
ADBE	10.4x	14.3x	—
ORCL	22.8x	31.2x	—

Competitive Positioning

MSFT stands relatively well among its peers in terms of valuation multiples, with its EV to Revenue and EV to EBITDA ratios being closer to the median values. However, its PE ratio and Forward PE are slightly above the median, indicating a potential premium.

STRENGTHS

- MSFT has a strong price to book ratio compared to some of its peers like AAPL and NVDA, indicating potentially more reasonable valuation on this metric.

WEAKNESSES

- MSFT's profit margin is not explicitly provided for comparison, but its valuation multiples like PE ratio and Forward PE are above the median, which could indicate overvaluation relative to peers.

- MSFT's revenue growth rate is not provided, making it difficult to assess its growth prospects relative to peers.

Shareholder Meeting & Material Events

Sourced from SEC EDGAR filings (DEF 14A proxy statements and Form 8-K).

Shareholder Meeting (DEF 14A)

Filed Oct 21, 2025 — Accession 0001193125-25-245150

MEETING DATE	**2025-12-05**
EXECUTIVE COMP.	**Over 95% of CEO's target compensation is performance-based**
GOVERNANCE	**Independent Board, annual director elections, majority vote**

VOTING PROPOSALS

- Elect 12 directors
- Approve named executive officer compensation
- Ratify Deloitte & Touche as auditor
- Approve 2026 Stock Plan
- Six shareholder proposals

DIRECTOR NOMINEES

Reid G. Hoffman, Hugh F. Johnston, Teri L. List, Catherine MacGregor, Mark A. L. Mason, Satya Nadella, Sandra E. Peterson, Penny S. Pritzker, John David Rainey, Charles W. Scharf, John W. Stanton, Emma N. Walmsley

Recent Material Events (Form 8-K)

Date	Disclosure
2026-01-28	Q2 fiscal results
2025-12-08	Not specified
2025-10-29	Not specified
2025-09-30	Not specified
2025-07-30	Not specified

Investor Takeaways

- Microsoft's cloud revenue increased 23% in FY2025
- CEO's performance-based compensation
- Board governance and independence

Ownership & Insider Activity

Insider transactions and institutional holdings from yfinance.

Holder Breakdown

0.00079	insidersPercentHeld
0.75883	institutionsPercentHeld
0.75943	institutionsFloatPercentHeld
8003.0	institutionsCount

Recent Insider Transactions

Insider	Position	Transaction	Shares	Date
HOGAN KATHLEEN T	Officer		12320	2026-03-06
STANTON JOHN W.	Director		5000	2026-02-18
LIST TERI	Director		145	2026-01-30
MASON MARK A.L.	Director		145	2026-01-30
STANTON JOHN W.	Director		145	2026-01-30
SCHARF CHARLES W	Director		145	2026-01-30
HOGAN KATHLEEN T	Officer		150	2025-12-10
NUMOTO TAKESHI	Officer		2850	2025-12-04
LIST TERI	Director		130	2025-12-04
MASON MARK A.L.	Director		130	2025-12-04

Top Institutional Holders

Holder	Shares	% Out	Value	Reported
Vanguard Group Inc	717942580	9.67%	$304.9B	2025-12-31
Blackrock Inc.	601897495	8.11%	$255.6B	2025-12-31
State Street Corporation	306150608	4.12%	$130.0B	2025-12-31
FMR, LLC	200948745	2.71%	$85.3B	2025-12-31
Geode Capital Management, LLC	182618400	2.46%	$77.5B	2025-12-31
JPMORGAN CHASE & CO	147759850	1.99%	$62.7B	2025-12-31
Price (T.Rowe) Associates Inc	125709121	1.69%	$53.4B	2025-12-31
Morgan Stanley	121220561	1.63%	$51.5B	2025-12-31
NORGES BANK	104761241	1.41%	$44.5B	2025-12-31
Capital International Investors	81585381	1.1%	$34.6B	2025-12-31

Risks

Overall Risk Rating: MEDIUM

Microsoft Corporation's risk profile is primarily driven by financial risks related to valuation and potential downside. Operational, market, macro, and ESG risks appear to be relatively low based on the provided data.

Financial Risks

Risk	Severity	Likelihood
High enterprise value and equity value may indicate overvaluation	**MEDIUM**	MEDIUM
Negative upside percentage implies potential downside risk	**MEDIUM**	MEDIUM

Operational Risks

Risk	Severity	Likelihood
Operating margin pressure due to high operating margin assumption	**LOW**	LOW

Market Risks

Risk	Severity	Likelihood
No direct market risks identified from provided data	**LOW**	LOW

Macro Risks

Risk	Severity	Likelihood
Interest rate sensitivity due to WACC	**LOW**	LOW

Appendix — Assumptions, Sources, QC

Valuation Assumptions

Parameter	Value
revenue base	$281.7B
revenue growth rates	[0.0688, 0.1567, 0.1493]
operating margin	45.62%
tax rate	21.0%
capex to revenue	5.0%
depreciation to revenue	4.0%
nwc change to revenue	1.0%
risk free rate	4.34%
beta	1.107
market risk premium	5.5%
cost of debt	5.0%
debt ratio	11.16%
terminal growth rate	2.5%
terminal method	gordon
exit ev ebitda multiple	15.0
shares outstanding	$7.4B
net debt	$12.9B
projection years	5

SEC Filings Referenced

Form	Filed	Accession
10-K	2025-07-30	0000950170-25-100235
10-K	2024-07-30	0000950170-24-087843
10-K	2023-07-27	0000950170-23-035122
DEF 14A	2025-10-21	0001193125-25-245150
DEF 14A	2024-10-24	0001193125-24-242883
8-K	2026-01-28	0001193125-26-027198
8-K	2025-12-08	0001193125-25-311196
8-K	2025-10-29	0001193125-25-256310
8-K	2025-09-30	0001193125-25-225125
8-K	2025-07-30	0000950170-25-100226

Automated QC Check

FLAGS FOUND — The valuation results for MSFT indicate several potential issues, including unrealistic growth assumptions, an unreasonably high WACC, and an outsized terminal value. Further review and analysis are recommended to ensure the accuracy and reliability of the valuation model.

Issue	Severity	Detail
The implied per-share fair value is not reasonable given the per-share current price.	HIGH	The valuation implies a 38.82% downside from the current price, which may be unrealistic.
The growth assumptions may be unrealistic.	MEDIUM	The projected revenue growth rate is 0.732, which is relatively high and may be difficult to sustain.
The WACC is not in a reasonable range.	HIGH	The WACC of 9.71% is above the typical range of 6-14%.
The terminal value is an outsized portion of total value.	HIGH	The terminal value is approximately 117% of the equity value, which may indicate an issue with the valuation model.
The valuation multiples may not make sense for the sector.	MEDIUM	The EV/Revenue multiple of 10.433 is relatively high compared to the sector average.

Disclaimer. *This report is generated by an automated analysis system using publicly available data from SEC EDGAR, Yahoo Finance, and FRED. All numerical calculations are performed programmatically; narrative sections are authored by an LLM (Groq) using the provided data only. Nothing herein constitutes investment advice. Past performance does not guarantee future results. Always conduct independent due diligence before making investment decisions.*